



ULTRA AVIATION SERVICES, INC.

General Operations Manual

SECTION C
SAFETY
AND
QUALITY MANAGEMENT



Section: C Safety and Quality Management

Revision: 6
Date: 10/01/2021Table of Contents

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C.1 SAFETY MANAGEMENT SYSTEM**ORM-HS 1.1.2, 1.2.1, 1.3.3**

Ultra Aviation Services corporate headquarters provides guidance for implementing, promoting, developing, and maintaining Safety Management System (SMS) procedures and principles in all our operational activities. The SMS at Ultra is proactive, predictive, and data driven in nature. SMS components include collection, analysis, and dissemination of safety information. The purpose of SMS is to provide a framework for maintaining a safe operation through the identification of hazards, mitigation of risks, and promotion of safety awareness throughout the organization. The primary role of the Manager of Safety and Compliance is to promote the Safety Management System (SMS) to support operational excellence; prevent accidents, incidents and occurrences; and manage corporate risk.

The scope of the Safety Management System is established by the President and Chief Executive Officer (CEO) of the company. This document applies to the employees of all operating stations involved in the implementation and execution of the Safety Management System at Ultra Aviation Services.

The Director of Operations serves as the responsible person and **Accountable Executive (AE)** for the implementation, maintenance and continuous improvement in the level of operational safety of Safety Program (SMS) throughout the company. This document applies to all operational stations defined as functional operational stations such as; Cabin Safety, Ground handling or Airport Services or Cargo Handling, and includes all operational activities, processes, and procedures within the functional organization.

Ultra Aviation Services will provide all the necessary resources for the implementation of the Safety Policy defined in this Manual. **The Accountable Executive has the authority to ensure the allocation of resources to manage the safety risks of ground operations.**

We encourage all our personnel to report hazards to ground operations using the safety reporting procedures specified in Section C.2 of this manual.

Any operational behavior that does not comply with Ultra's procedures, and that affect the safety and security of the operation, is unacceptable. A disciplinary action can be taken by the Company, if it considers appropriate after an investigation. Disciplinary actions could involve from suspensions of their duties up to a discharge of the employee.

Endorsed by:

Director of Operations



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The essential idea of any SMS is to provide for a systematic approach to achieving acceptable levels of safety risk. The company Safety Management System (SMS) is comprised of four functional components; Safety Policy, Safety Risk Management, Safety Assurance and Safety Promotion including an intangible, but always critical, aspect called safety culture.



REF: FAA.Gov

C.1.1 Safety Policy — Establishes senior management's commitment to continually improve safety; defines the methods, processes, and organizational structure needed to meet safety goals.

- Establishes management commitment to safety performance through SMS.
- Establishes clear safety objectives and commitment to manage to those objectives.
- Defines methods, processes, and organizational structure needed to meet safety goals.
- Establishes transparency in management of safety.
 - Fully documented policy and processes
 - Employee reporting and resolution system
 - Accountability of management and employees
- Builds upon the processes and procedures that already exist.
- Facilitates cross-organizational communication and cooperation.
- To ensure continuous relevance the corporate manual is reviewed and updated every two years.



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C.1.2 Safety Risk Management (SRM) — Determines the need for, and adequacy of, new or revised risk controls based on the assessment of acceptable risk

- A formal process within the SMS composed of:
 - Describing the system
 - Identifying the hazards
 - Assessing the risk
 - Analyzing the risk
 - Controlling the risk
- The SRM process may be embedded in the processes used to provide the product/service

C.1.3 Safety Assurance (SA) — The Safety Assurance Committee is the responsible for evaluates the continued effectiveness of implemented risk control strategies, supports the identification of new hazards, follow-up on every incident reported regarding safety operational issues and scheduled and non-scheduled Safety Inspections results.

- The Safety Assurance Committee is composed by the following persons:
 - Director of Operations
 - Safety & Security Manager
 - Quality Assurance Manager
 - Ramp Operations Manager
 - Passenger Service Manager
 - Training Manager

This Committee will have quarterly meetings in order to review any new Safety issue and to follow-up on the ones that were discussed previously. Any recommendation from the Safety Assurance Committee needs to be implemented and properly documented for further revision.

- SMS process management functions that systematically provide confidence that organizational outputs meet or exceed safety requirements
- Ensures compliance with SMS requirements and FAA orders, standards, policies, and directives
 - Information Acquisition
 - > Audits and evaluations
 - > Employee reporting
 - Data Analysis
 - System Assessment
- Provides insight and analysis regarding methods/opportunities for improving safety and minimizing risk.
- Existing assurance functions will continue to evaluate and improve service.



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C.1.4 Safety Promotion — Includes training, communication, and other actions to create a positive safety culture within all levels of the workforce.

- Safety promotion activities within the SMS framework include:
 - Providing SMS training
 - Advocating/strengthening a positive safety culture
 - System and safety communication and awareness
 - Matching competency requirements to system requirements
 - Disseminating safety lessons learned
- Everyone has a role in promoting safety.

C.2 SAFETY PROGRAM REPORTING POLICIES**ORM-H 1.3.3, 1.3.5**

Everyone at Ultra Aviation Services is responsible for maintaining safe and compliant operations on a daily basis. Ultra Management has laid out the following policies as guidance.

1. **Operational Hazards** - The Director of Operations is responsible for the development and maintenance of the safety program. The Station Manager is responsible for the operational safety of the daily operations. Any personnel who wish to report operational hazards, deficiencies or any other area of concern, may report them to their immediate supervisor, any compliance agent, the Station Manager, the Safety & Compliance Manager, the Director of Human Resources, or the Director of Operations by completing and Operational Hazards form. **(FORM U-SMS-01)**
2. **Incidents & Accidents** - When an Incident or Accident or non-routine occurrence happens during an operation, the Station Manager should be notified immediately and an Incident and Accident Report **(FORM U-SMS-02)** shall be completed by the supervisor on duty and submitted to the Compliance Manager for investigation. The incident report and the results of the investigation will then be provided to the customer airline(s), the Airport Authority, and/or State, as applicable. **(ORM-HS 1.3.5)**
3. **Safety Investigations** - The Compliance Manager is responsible for the investigation of irregularities or other non-routine operational occurrences that may be precursors of accidents or incidents; The identification and analysis of operational hazards and potentially hazardous conditions; and the production of analytical information, which may include recommendations, for use by operations managers in the prevention of operational accidents and incidents. An Investigation Report **(FORM U-SMS-03)** may be completed for this purpose by a compliance agent.
4. **Safety Program Review** - The Results and Recommendations of the Safety & Compliance Department shall be reviewed on a Quarterly Basis in order to ensure that any significant issues arising from the station safety program are being addressed and that the safety program is adhered to by company personnel, and that the safety program would also be in accordance with applicable regulations and requirements of the customer airline(s). Corrective Actions and updated procedures will be distributed to the appropriate managers and supervisors for implementation.



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- 5. Responsibility** - Every Ultra Aviation Services Employee has direct responsibility for health and safety as an essential part of their job. Each employee is responsible to work in a safe manner and to comply with both regulatory and company requirements and safe work procedures. In addition All personnel must:
- Work to prevent accidents and injuries;
 - Accept that accidents and injuries have causes that can be eliminated or reduced;
 - Accept that health and safety is an essential part of doing their work (health and safety is not an extra responsibility, it is part of the job);
 - Have a clear understanding of what they are responsible for, what they can do to change matters, and when things must be done.
 - Ensure the maintenance of health and safety standards on the job and in the workplace in general.
 - Have a clear understanding of their own skill, ability and limitations, and should have the capacity to carry out their duties.
 - Personally and/or in cooperation with others strive to improve work processes and reduce risk by continually looking to exceed minimum standards.
- 6. Training** - All Ultra employees shall receive initial and recurrent safety training as outlined in the Training & Qualification section of this manual (Section E).
- 7. Standard Operating Procedures** can be found in the section of this manual for each area and type of services provided.

8. Non-Punitive Policy**ORM-HS 1.3.3**

At Ultra Aviation Services, our objective is to cultivate a safety culture in which employees and customers are comfortable and encouraged to bring safety concerns to the attention of management. No person will be penalized or retaliated against for bringing safety issues to the attention of management.

Safe flight operations are Ultra's most important commitment. It is imperative that we have uninhibited reporting of all incidents and occurrences that compromise the safety of our operations. We ask that each employee accept the responsibility to communicate any information that may affect the integrity of flight safety. Employees must be assured that this communication will never result in reprisal, thus allowing a timely, uninhibited flow of information to occur.

All employees are advised that Ultra Aviation Services will not initiate disciplinary action against an employee who discloses an incident or occurrence involving flight safety. This policy cannot apply to criminal, international or regulatory infractions. Exceptions to Non-punitive Action are as follows:

- Intentional acts by employees to undermine the security, quality, safety or regulations compliance, which they later report
- Employees who knowingly fail to report an issue regarding security, quality, safety or regulations compliance



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9. Mandatory Reporting to Regulatory Agencies**ORM 1.3.3**

In accordance with applicable regulations, the following reports must be recorded on the company Operational Hazards Form.

- Dangerous Goods
- Hidden Weapons or Prohibited Items
- Passenger or Employee injury
- Threats of Unlawful Interference
- Suspicious Activity
- and other not listed here

10. Protection of Safety Data**ORM 1.3.3**

Any data collected by the safety assurance department shall be classified as proprietary information, and shall only be used for analysis and necessary management action to address safety issues identified through the reporting system. All related data shall be protected from being used for any purpose other than the improvement of safety and the company safety management system (SMS).

C.2.1 CHANGE MANAGEMENT

This section addresses the change management process and is designed to ensure risk management is applied to any internal or external changes that have the potential to affect established operational processes, procedures, products and services.

All organizations are affected by changes in circumstance. Typically, these changes are introduced to the organization by either internal or external forces.

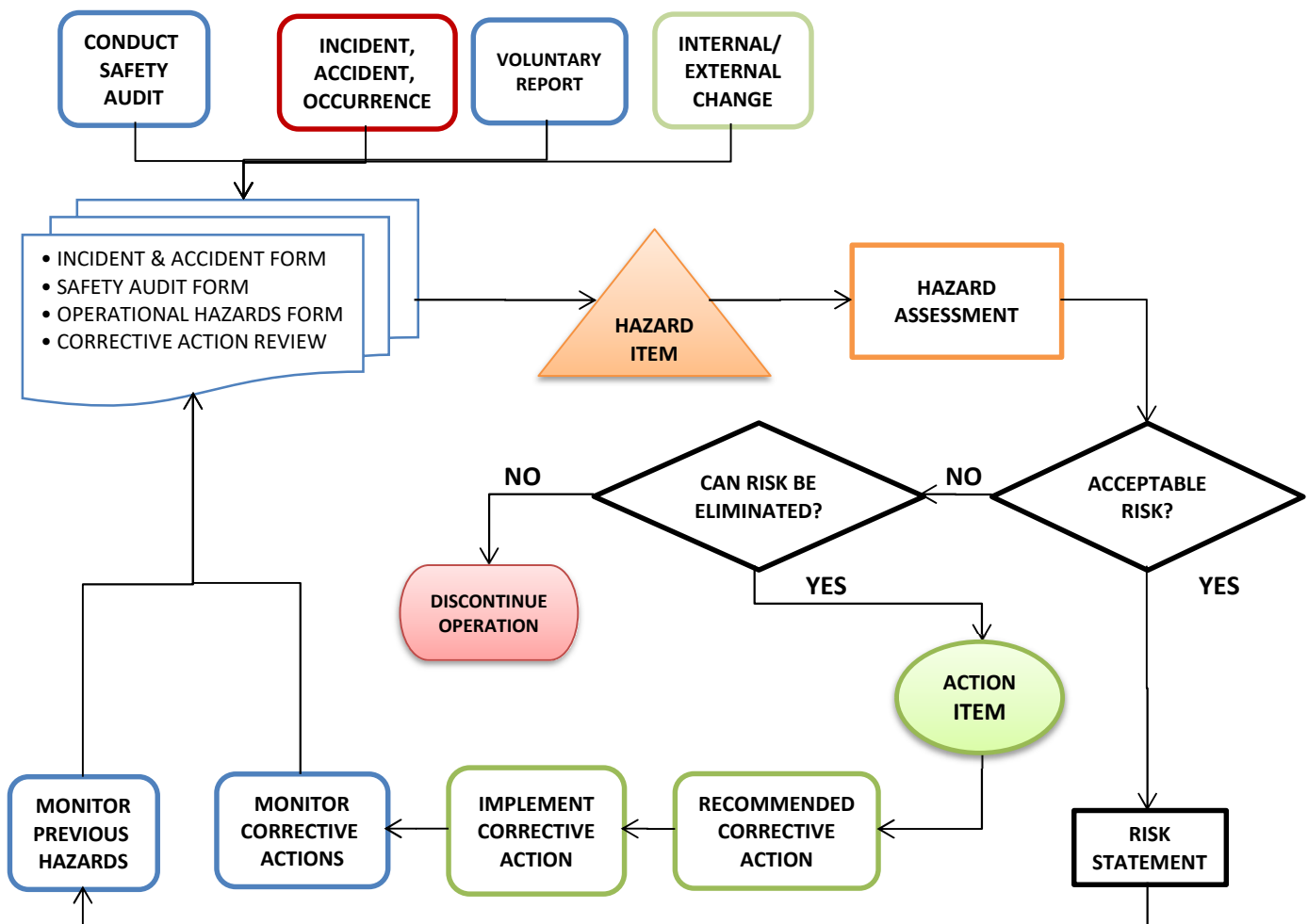
- Internal changes typically include organizational expansion, contraction or consolidation, new initiatives, business decisions, as well as the introduction of new or the modification of existing systems, equipment, programs, products or services.
- External changes could include new regulatory requirements or changes to the operating environment (e.g. new security regulations, amendments to the dangerous goods regulations).

In order to ensure risk management is applied to any internal or external changes that have the potential to affect established operational processes, procedures, products and services, upper management may introduce an Action Item or Operational Hazard Form into the Safety Management System as a proactive measure to assess the effectiveness of existing safety risk mitigation strategies and/or maintain compliance with any changes in regulatory requirements.

**C.3 SAFETY RISK MANAGEMENT (SRM)****ORM-HS 1.3.2, 1.3.4, 1.3.5**

Safety risk management builds upon a system design in which appropriate safety risk controls to eliminate or mitigate the consequences of anticipated hazards are embedded in the system. This is true whether the “system” in question is a physical system such as an aircraft, or an organizational system, such as an airline, or an ground service provider. Ultra's organizational system is a system consisting of the structures, processes and procedures, as well as the people, equipment and facilities that are necessary to accomplish the system's mission.

The workflow diagram below demonstrates the safety risk management process.





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C.3.1 STEP 1: HAZARD IDENTIFICATION**ORM-HS 1.3.2, 1.3.4, 1.3.5**

Hazard Identification is the first step in Safety Risk Management . This is where safety data is collected for analysis. Hazard items are identified based on a combination of reactive, proactive and predictive methods. The following occurrences trigger the Safety Risk Management Process:

- **Incident or Accident** - When an incident or accident or non-routine occurrence happens an Incident & Accident Report **(FORM U-SMS-02)** is completed by the supervisor on duty and submitted to the Safety and Compliance Manager.
- **Operational Hazards**- When an Operational Hazard Report **(FORM U-SMS-01)** is completed by an employee who notices a potential hazard in the workplace and submitted to the Safety and Compliance Manager.
- **Safety Audits** - Regularly scheduled safety audits and inspections are performed by agents in the safety and compliance department. These reports are submitted to the Manager of Safety & Compliance for analysis. **(FORM U-SMS-05)**
- **Corrective Actions** are monitored for performance, effectiveness and compliance. This review is documented by completing the Corrective Action Review Form. **(FORM U-SMS-06)**
- **Industry Sources** - Periodically Industry Sources bring light to potential operational hazards triggered by current events in the industry. The Manager of Safety and Compliance may determine that these potential hazard items are applicable to company operations and complete an Operational Hazard Report **(FORM U-SMS-01)** for investigation.
- **Previous Hazard Items** which were previously found to be within acceptable limits of risk are re-evaluated by senior management on a bi-annual basis, in order to determine if the hazard item remains within limits. If the item does not remain within limits the item may be resubmitted for evaluation.

C.3.2 STEP 2: HAZARD ASSESSMENT

Once hazards have been identified, the safety risks of their potential consequences must be assessed. Safety risk assessment is the analysis of the safety risks of the consequences of the hazards that have been determined as threatening the capabilities of an organization. Safety risk analyses use a conventional breakdown of risk into two components — the probability of occurrence of a damaging event or condition, and the severity of the event or condition, should it occur. The purpose of Hazard Assessment is to determine whether or not the safety risk of a particular hazard item is within acceptable limits or if corrective action needs to be taken. Corrective Action could be taken in the form of a company policy, procedure, or disciplinary action: **(FORM U-SMS-07)**



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The following steps outline the Risk Assessment procedure:

1. Analyze and Evaluate the Risk by making assumptions about the probability of a risk event.
2. Determine if there is a current control, policy or procedure in place that addresses the risk.
3. Evaluate the Effectiveness of that policy or procedure in limiting the risk.
4. Grade the Risk by using the matrix below for guidance.
5. Accept the Risk and create a Risk Statement or Recommend Corrective Action.

A. RISK ASSESSMENT MATRIX

Each hazard item is evaluated for likelihood and severity in five dimensions: injury to personnel; damage to the environment; damage to assets; potential increased costs or revenue loss; and damage to the reputation of the corporation. Each area will be plotted on the matrix below and an Assessed Risk Value will be reached. Continue to the next page for scoring guidelines.

LIKELIHOOD	5 OFTEN	5 MODERATE	10 HIGH	15 SEVERE	20 SEVERE	25 SEVERE
	4 OCCASIONALLY	4 MODERATE	8 HIGH	12 HIGH	16 SEVERE	20 SEVERE
	3 POSSIBLE	3 NEGLECTIBLE	6 MODERATE	9 HIGH	12 HIGH	15 SEVERE
	2 UNLIKELY	2 NEGLECTIBLE	4 MODERATE	6 MODERATE	8 HIGH	10 HIGH
	1 PRACTICALLY IMPOSSIBLE	1 NEGLECTIBLE	2 NEGLECTIBLE	3 NEGLECTIBLE	4 MODERATE	5 MODERATE
		1 INSIGNIFICANT	2 MINOR	3 SIGNIFICANT	4 CRITICAL	5 CATASTROPHIC
		CONSEQUENCES				



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B. LIKELIHOOD LEVELS

Assumptions regarding the likelihood that a Hazard Item event will occur will be scored by the following guidelines:

SCORE	CRITERIA
1.	RARE / PRACTICALLY IMPOSSIBLE: Unknown Risk, but possible in the aviation industry.
2.	UNLIKELY: Known to happen in the aviation industry.
3.	POSSIBLE: The Hazard Item has occurred in the company or in the aviation industry.
4.	OCCASIONALLY: The Hazard Item has occurred more than three (3) times per year within the company.
5.	OFTEN: The Hazard Item has occurred more than three (3) times at a particular location.

The compliance agent shall use their best judgement when grading identified risks.

C. CONSEQUENCE LEVELS

Assumptions regarding the severity of the consequences that will occur if an Identified Hazard Item event occurs will be scored by the following guidelines in each area:

PHYSICAL INJURY:

SCORE	CRITERIA
1.	INSIGNIFICANT: No Injury
2.	MINOR: Minor Injury (less than a "serious injury").
3.	SIGNIFICANT: Serious Injury defines any injury which: • Requires hospitalization for more than 48 hours, commencing within seven days from the date the injury was received. • Results in a fracture of any bone (except simple fractures of fingers, toes, or nose). • Causes severe hemorrhages or nerve, muscle, or tendon damage. • Involves any internal organ. • Involves second- or third-degree burns, or any burns affecting more than 5% of the body surface.
4.	CRITICAL: A Single Fatality.
5.	CATASTROPHIC: Multiple Fatalities.



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DAMAGE TO THE ENVIRONMENT:

SCORE	CRITERIA
1.	INSIGNIFICANT: No Effect.
2.	MINOR: Minor Effect (event is immediately addressed with available materials and does not result in fines or violations).
3.	SIGNIFICANT: Contained Effect (event does not extend beyond a Ultra's Leasehold and does not cost more than \$50,000, including fines).
4.	CRITICAL: Major effect (if any of the following conditions apply): • Event extends beyond a Ultra's Leasehold. • Event does not extend beyond a Ultra's Leasehold but costs more than \$50,000. • Event results in a Notice of Violation from a regulatory agency.
5.	CATASTROPHIC: Massive effect (if any of the following conditions apply): • Event costs more than \$1 million, including fines. • Event negatively affects human health. • Event diminishes the ability of the community to enjoy the environment. • Event causes irreversible damage to the environment.

DAMAGE TO ASSETS:

SCORE	CRITERIA
1.	INSIGNIFICANT: No damage
2.	MINOR: Minor damage (less than \$50,000)
3.	SIGNIFICANT: Substantial damage (from \$50,000 to less than \$250,000)
4.	CRITICAL: Major damage (from \$250,000 to less than \$1 million)
5.	CATASTROPHIC: Catastrophic damage (\$1 million or greater)

POTENTIAL INCREASED COST OR REVENUE LOSS

SCORE	CRITERIA
1.	INSIGNIFICANT: No increased cost or lost revenue.
2.	MINOR: Minor Loss (less than \$50,000)
3.	SIGNIFICANT: Substantial Loss (from \$50,000 to less than \$250,000)
4.	CRITICAL: Major Loss (from \$250,000 to less than \$1 million)
5.	CATASTROPHIC: Catastrophic Loss (\$1 million or greater)

DAMAGE TO CORPORATE REPUTATION

SCORE	CRITERIA
1.	INSIGNIFICANT: No Implication.
2.	MINOR: Limited, Localized Implication.
3.	SIGNIFICANT: Regional Implication.
4.	CRITICAL: National Implication.
5.	CATASTROPHIC: International Implication.



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D. DETERMINATION OF RISK ACCEPABILITY

Each of the following areas: (Physical Injury, Damage to the Environment, Damage to Assets, Potential for Increased Costs or Lost Revenue and Damage to Corporate Reputation) will be scored on the Risk Assessment Matrix, and a Risk Value will be reached, and the following actions taken.

SEVERE	If the Risk Value for any of the areas is found to be Severe (Rating 15-25) , then the Risk associated with the Hazard Item is " UNACCEPTABLE: IMMEDIATE ACTION MUST BE TAKEN ", and further work is required to design an intervention that eliminates the associated hazard or controls the factors that lead to higher risk likelihood or severity.
HIGH	If the Risk Value in more than one area is found to be High (Rating 8-12) , then the Risk associated with the Hazard Item is " UNACCEPTABLE " and further work is required to design an intervention the eliminates the associated hazard or controls the factors that lead to higher risk likelihood or severity.
MODERATE	If the Risk Value is found to be Moderate (Rating 4-6) , then the Risk associated with the Hazard Item is " ACCEPTABLE " and further monitoring of the Hazard Item is required to ensure that the likelihood or severity of the risk has not increased.
NEGLIGIBLE	If the Risk Value is found to be Negligible (Rating 1-3) , then the Risk associated with the Hazard Item is " ACCEPTABLE " and no further monitoring of the Hazard Item is required.

C.3.3 STEP 3: RISK CONTROL AND MITIGATION

After safety risks have been assessed though the preceding step, elimination and/or mitigation in accordance with company guidelines must take place. This is known as safety risk mitigation. Safety risk controls or a Corrective Action must be designed and implemented. These may be additional or changed procedures, new supervisory controls, changes to training, additional or modified equipment, or any of a number of other elimination/mitigation alternatives.

Once the Corrective Action is defined it is ready for operational deployment/re-deployment, assuming that the safety risk controls are deemed to be acceptable. In the event that the Manager of Safety and Compliance determines that **IMMEDIATE ACTION** is required, he will contact the appropriate department manager to communicate the concern so that immediate corrective action can be taken. Then the Hazard Item will be documented and processed through the normal Safety Risk Management procedure.



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C.3.4 STEP 4: RISK MONITORING

The next component of the SMS, safety assurance, utilizes auditing, analysis, review and similar techniques, in line with those utilized by quality management systems. These techniques are used to monitor the safety risk controls to ensure that they continue to be implemented as designed and that they continue to be effective in the dynamic operational environment.

The objectives of risk monitoring and updating are to:

1. Systematically track the identified risks.
2. Identify any new risks
3. Effectively manage the contingency reserve
4. Capture lessons learned for future risk assessment and allocation efforts

Periodic project risk reviews repeat the tasks of identification, assessment, analysis, mitigation, planning, and allocation. Regularly scheduled project risk reviews can be used to ensure that project risk is an agenda item at all operational meetings. If unanticipated risks emerge or a risk's impact is greater than expected, the planned response or risk allocation may not be adequate. At this point, the project team must perform additional response planning to control the risk.

C.3.5 STEP 5: RISK REPORTING

Risk reporting involves recording, maintaining, and reporting assessments. Monitoring results and assessing the adequacy of existing plans are critical. The primary criterion for successful management is formally documenting the ongoing risk management process.

This is important for the following reasons:

1. It provides a basis for monitoring mitigation and allocation actions and verifying the results.
2. It provides background material for new personnel.
3. It is a management tool for daily operations.
4. It provides the rationale for future risk assessments.

All Safety Risk Management cases will be numbered and all documents, reports and forms will be stored electronically for future reference.



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C.4 QUALITY ASSURANCE PROGRAM**ORM-H 1.3.7**

Ultra Aviation Services has implemented the Safety Assurance Committee that has a main responsibility to implement and sustain the Quality Assurance Program of the company. The purpose of the Quality Assurance Program is to monitor the performance of the company employees and auditing company operations for quality of service, regulatory compliance and corporate safety and security. The goals of this Program are as follow:

1. Compliance with applicable regulations and requirements of customer airlines;
2. Satisfaction of stated operational needs;
3. Identification of undesirable conditions and areas requiring improvement;
4. Identifying and Controlling operational hazards and risks.
5. Monitoring effectiveness of safety risk controls.
6. Identifying of any operational change that need to be address through the Change Management procedure define by the company.
7. Review of the Training Program of the company

The Quality Assurance Committee is composed by the following persons:

- Director of Operations
- Quality Assurance Manager
- Ramp Operations Manager
- Passenger Service Manager
- Training Manager

This Committee will have quarterly meetings in order to review any new quality assurance issue and to follow-up on the ones that were discussed previously. Any recommendation from the Quality Assurance Committee needs to be implemented and properly documented for further revision.



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C.4.1 AUDIT AUTHORITY**ORM-H 1.3.10**

Audit Authority is granted by the Director of Operations to the Safety & Compliance Manager of each station who is then responsible for training and qualifying compliance agents who will conduct company audits. Internal auditors shall have unrestricted access to all company departments, records, reports, activities, property, and personnel that they deem necessary to complete the audit. Auditors will exercise discretion in the review of records to assure the necessary confidentiality is maintained.

Each Compliance Agent shall:

- Be trained and qualified in accordance with the company training manual and functionally independent from the operational areas to be audited.
- Act in a strictly trustworthy and unbiased manner in relation to both the organization to which they are employed, contracted or otherwise formally engaged and any other organization involved in an audit performed by them or by personnel under their direct control;
- Disclose to their employer any relationship they may have with the organization to be audited before undertaking any audit function in respect of that organization;
- Not accept any gift, commission, discount or any other profit from the organization audited, from their representatives, or from any other interested person nor knowingly allow personnel for whom they are responsible to do so;
- Not disclose the findings, or any part of them, nor to disclose any other information gained in the course of the audit to any third party, unless authorized in writing by both the auditee and the audit organization, if applicable;
- Not to act in any way prejudicial to the reputation or interest of the audit organization; and
- In the event of any alleged breach of this code, to cooperate fully in any formal enquiry procedure.



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Date: 10/01/2021**C.4.2 INTERNAL AUDITS****ORM 1.3.9**

Internal Audits are performed by the department of safety and compliance for the purpose of assessing the efficiency and effectiveness of company policies and procedures and identifying deficiencies in the operation and areas where improvements can be made.

- A. Audit Frequency** - Internal Audits shall be conducted on Each Station / Department at least once annually. In the event that a scheduled audit is missed, it must be rescheduled within 90 days from the original date. In addition, unscheduled audits may be performed at the discretion of the Quality Assurance Manager.
- B. Audit Scope & Objectives** - Internal Audit coverage will encompass reviews of company operations and activities to:
- appraise the effectiveness of the quality assurance program with regard to company policies, procedures, management, and internal controls and the documentation and reporting of compiled information.
 - review the effectiveness of the Safety Management System.
 - [ensure compliance with policies, procedures, company standards, laws and regulations.](#)
 - review the status of initial and recurrent employee training and training records.
 - determine whether adequate measures have been taken to safeguard company assets.
 - [ensure compliance with the Quality Assurance Program](#)
 - review relevant operational safety or security events that have occurred.
 - review previous audits and corrective actions taken.
 - identify any deviation from company policies and procedures
 - identify hazard items to be tracked and/or corrected.
 - [ensure the quality of service and compliance with the requirements of the customer airlines.](#)
- C. Audit Plan & Checklist Development** - Each Audit should be recorded on the company **Audit Summary Form (FORM U-SMS-08)**. IATA checklists should be used to complete each audit area unless a company or customer airline checklist has been created for the audit area.
- D. Observation** - Once a particular deficiency or area for improvement is identified, further observation and collection of evidence may be necessary to determine the root cause of the item. When this occurs, the Station Manager and the Director of Operations should be notified. This investigation should be documented and attached to the Audit Summary Form.
- E. Audit Analysis** - Upon completion of an audit and subsequent investigation the Audit Summary Form along with the supporting documentation will be given to the Manager of Safety and Compliance for analysis and recommendations. The result will then be given to the Station Manager and the Director of Operations.



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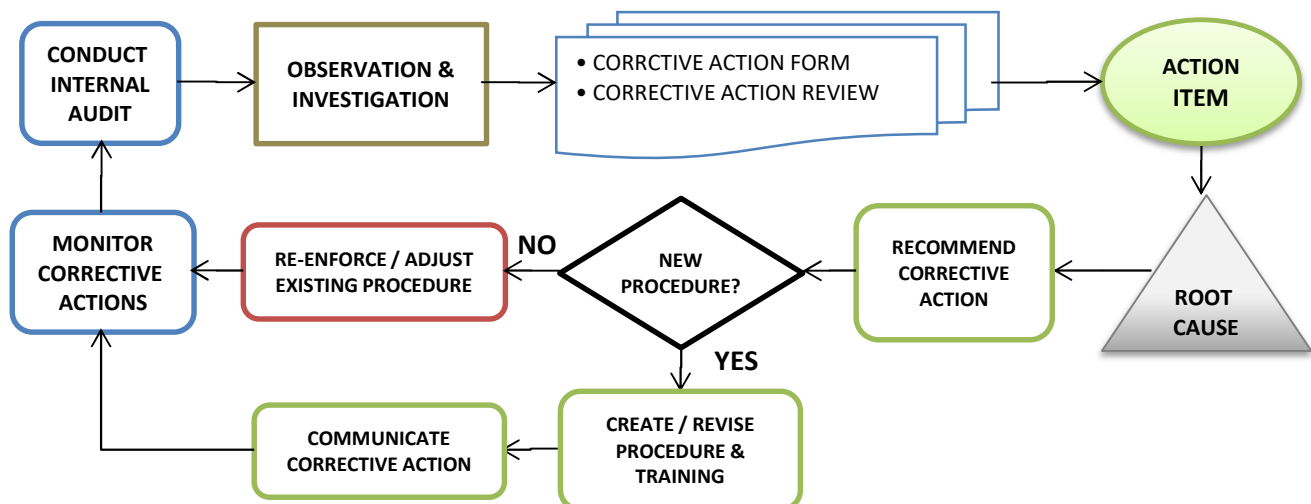
F. Reporting and Audit Summary - The auditor and the responsible supervisor / manager of the audited area should have a comprehensive discussion and reach agreement on the findings and corresponding corrective or preventive actions. Any disagreements should be taken to the Station Manager and Director of Operations for a final verdict. The final audit report shall be filed, tracked, and corrective actions implemented. Any action items will be tracked and reviewed by upper management at the regularly scheduled meeting.

G. Follow up & Close Out - An action item can be closed out upon review of the deficiency and verification that the corrective action has been successfully implemented and/or the deficiency no longer exists.

C.4.3 CORRECTIVE ACTION**ORM-H 1.3.8**

A Corrective Action is created when either an Action Item or a Hazard Item is identified through the Safety Management System or the Quality Assurance Program. A Corrective Action may be initiated and documented by completing the company **Corrective Action Form (FORM U-SMS-04)** and approved by the Station Manager or the Director of Operations or designee.

The flow chart below outlines the process for the creation and implementation of a Corrective Action:





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A. CORRECTIVE ACTION PROCEDURE**ORM**

1. **Determination of Root Cause** - Once a Hazard Item or Action Item has been identified, it is imperative to determine how and why the hazard or deficiency exists.
 - i. State Action Item or Hazard Item.
 - ii. Ask *Why?* the problem happens and write the answer.
 - iii. If the answer does not provide the root cause of the problem then Ask *Why?* again.
 - iv. Repeat the previous step until an agreement is reached that the root cause is identified.
2. **Develop Recommended Corrective Action** - Once the root cause is determined, recommend one or more ways to solve the problem and/or correct the situation.
 - i. Is there a current company policy or procedure in place to solve the problem. If yes, re-enforce the policy or procedure. Otherwise continue to the next step.
 - ii. Recommend one or more ways to solve the problem and/or correct the situation.
 - iii. Is Recommended Action feasible?
 - iv. Which Recommended action reduces any associated risks the most?
 - v. Which Recommended action improves operational performance the most?
 - vi. Are there any associated costs with the Recommended action?
 - vi. Based on the answers to the above question, finalize the Recommended Action(s) and submit them to management for initial approval.
3. **Recommended Corrective Action Approval** - The Station Manager and/or the Director of Operations or designee will review and approve or reject the recommended corrective action.
4. **Define Corrective Action** - Once Approved, formal definition, documentation of the Corrective Action including Company Policies, Procedures, and Training can take place. This may include a revision to company manuals, forms, memos or notifications along with the acquisition of any materials or equipment necessary for implementation.
5. **Final Corrective Action Approval and Implementation** - When the Corrective Action is ready for implementation a final review will be done by the Station Manager and/or the Director of Operations or designee and approved for implementation.
6. **Monitoring of Corrective Action** - Once implemented, Corrective action will be included as part of future internal audits and risk assessments to determine effectiveness.
7. **Management Review** - Implemented Corrective Actions will be reviewed at the by upper management at the regularly scheduled meeting. At this time, once a Corrective Action has been absorbed in to the company's operational policies and procedures the corrective action may be closed. This action will ensure the elimination or mitigation of such cause of sub-standard performance.

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B. COMMUNICATION OF QUALITY ASSURANCE INFORMATION**ORM-HS 1.3.12, 1.5.2**

An effective communication system ensures an exchange of relevant operational information among senior managers, operational managers and frontline personnel. The general intent of safety communication is to foster a positive safety culture in which all employees receive ongoing information on safety issues, safety metrics, specific hazards existing in the workplace, and initiatives to address known safety issues. Such communication typically conveys safety-critical information, and explains why particular safety actions are taken and why safety procedures are introduced or changed.

Safety & Security Bulletins - Quality Assurance information is distributed by the Company through safety and security bulletins which are posted by the employee time clock and sent via email to operational managers and supervisors.

Read and Sign - All hazard items addressed in Safety & Security Bulletins require complete and immediate resolution. Severe hazards may warrant termination from the company if they are repeated. In these cases, acknowledgment sheets will be created for all relevant operational areas that may encounter the hazard and all affected employees must sign that they have read and received each necessary acknowledgment sheet as a term of their continued employment.



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C.4.4 OUTSOURCING OF QUALITY ASSURANCE PROGRAM**ORM-HS 1.6.1**

In the event that the company outsources ground operations and/or associated functions to external ground service providers, a contract or agreement is executed with such external providers. The contract or agreement shall identify measurable specifications that can be monitored by the Provider to ensure requirements that affect operational safety and/or security are being fulfilled by the external provider.

A contract or agreement is necessary to ensure the outsourced services and/or functions are formally documented. Inclusion of measurable specifications, usually in the form of a service level agreement, would provide the basis for a monitoring process.

The company always retains responsibility for services that have been voluntarily transferred to an external service provider.

Example: Maintenance of GSE would be considered a function associated with operational safety.

C.4.5 MONITORING OF OUTSOURCED GROUND OPERATIONS**ORM-HS 1.6.2, 1.6.3**

The company shall have processes for monitoring such external providers to ensure requirements that affect operational safety and security are being fulfilled by the external provider of ground operations and/or associated functions which are outsourced to external ground service providers, that affect operational safety

The company has a responsibility to monitor outsourced services or functions to ensure they are conducted in a manner that meets its own operational safety and security requirements, as well as those of the customer

Monitoring may be accomplished in the following ways:

- If the outsourced ground service provider is certified under the ISAGO program, then the provider's safety, security and quality programs may be accepted as compliant.
- If the outsourced ground service provider is **NOT** certified under the ISAGO program, then the company shall monitor the ground service provider under its own safety, security and quality assurance programs.
- Company personnel assigned to oversee the performance of outsourced operational activities shall be trained and qualified to supervise ground operations.
- The outsourced company will have access to applicable operational documentation.



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C.4.6 OUTSOURCED GROUND OPERATIONS TRAINING**ORM-HS - 1.6.4**

External ground service providers shall have a training program applicable to the applicable outsourced functions which is in accordance with the requirements of the company training program (SEC. E of this

- i. Training of personnel implementing security controls, and ensuring such personnel have the competence to perform their duties;
- ii. Ground handling personnel of the external ground service provider are familiar and know how to comply with all relevant security requirements;
- iii. Ground handling personnel of the external ground service provider are able to prevent to the extent possible acts of unlawful interference and to act in the most appropriate manner to minimize the consequences of acts of unlawful interference, unauthorized interference, and/or disruptive passenger behavior;
- iv. Appropriate operational personnel of the external ground service provider, through security awareness training, are acquainted with preventative measures and techniques in relation to passengers, baggage, cargo, mail, equipment, stores and supplies intended for transport on aircraft, as applicable, so they may contribute to the prevention of acts of sabotage and other forms of

C.4.7 OUTSOURCED DANGEROUS GOODS HANDLING**ORM-HS 1.6.5**

If dangerous goods handling functions are outsourced to external ground service providers at any station, the company shall ensure such external providers have a dangerous goods training program in accordance with requirements of the company and customer airline(s) dangerous goods training program.

C.4.8 GROUND DAMAGE DATABASE (GDBB)**ORM-HS 1.3.6**

The company process to ensure aircraft ground damages are reported to IATA for inclusion in the Ground Damage Database (GDDb). Such reports should be submitted in accordance with the formal IATA ground damage reporting structure. Describe in the formats in this chapter and schedule as follows:

- Q1-First 10 working days month of April
- Q2-First 10 working days month of July
- Q3-First 10 working days month of October
- Q4-First 10 working days month of January

The report is submitted in an excel sheet with the information required by IATA.



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C.5 PERFORMANCE MEASURES**ORM-HS 1.4.3**

The use of performance measures is an effective method to determine if desired safety outcomes are being achieved; it also focuses attention on the performance of the organization in managing operational risks and maintaining compliance with relevant regulatory, legislative, airport and customer airline(s) requirements, where applicable.

The Key Performance Indicators (KPI) that are tracked by the company are:

- On Time Performance
- Delay Analysis
- Accidents / Incidents
- Workplace Injuries - Workman's Compensation Claims
- Customer Airline(s) Specific, when applicable

The Results and analysis of the Key Performance Indicators along with the performance measures themselves shall be reviewed by Upper Management at the Annual Management Review Meeting.

C.6 CONTINUOUS IMPROVEMENT OF THE SMS**ORM-HS 1.4.5**

The continuous improvement of the safety management system (SMS) is the responsibility of the safety assurance committee. An annual review of the performance of the SMS will be conducted to ensure that it is performing up to the desired standards of the company.

The review shall include:

- i. Identification of the cause(s) of substandard performance of the SMS.
- ii. Determination of the implications of substandard performance of the SMS in operations.
- iii. Elimination or mitigation of such causes of substandard performance.
- iv. Determination of performance standards of the company.
- v. Comparison of current performance versus prior performance and established company standards.